FINANCE COMMISSION

Article 280 | Devolution | Grants | FC-16 (2026-31)

POLITY 29

01 WHY THE COMMISSION EXISTS

Vertical gap
Union revenue capacity versus State service duties

Horizontal gap
Unequal State capacity, need and cost

Answer line
Periodic rule-based equalisation turns fiscal bargaining into constitutiona

02 CONSTITUTIONAL REVENUE SPINE

269 / 269A
Assigned taxes and inter-State GST apportionment

270 / 271
Shareable taxes versus Union surcharge exclusion

279 / 279A
CAG-certified net proceeds versus GST Council coordination

03 ARTICLE 280 CORE

Clock
Every fifth year or earlier; President constitutes

People
Chairman plus four other members

Functions
Vertical, horizontal, grants, local augmentation and referred sound-finance matters

04 1951 ACT

Qualifications
Public affairs; law, accounts, administration, economics

Integrity
Interest screen, disqualification, term and reappointment

Procedure
Own procedure plus specified civil-court inquiry powers

05 ARTICLE 281 STATUS CHAIN

Recommend
Expert report to President

Explain
Report plus action memorandum before both Houses

Implement
Order/law, Budget, guideline, release and audit are separate stages

06 DIVISIBLE POOL + VERTICAL SHARE

Base
GTR minus exclusions and collection cost

Rate
FC-16: States receive 41% of divisible pool

Concern
Excluded cesses/surcharges can shrink pool relative to GTR

07 FC-16 HORIZONTAL FORMULA

Equalisation
GSDP distance 42.5%; population 17.5%

Four tens
Demography, area, forest, GDP contribution

Methods
Inverse growth; 1.5% floor; weighted forest; square-root GSDP

08 GRANTS + LOCAL-BODY CHAIN

Instruments
Art 275 grants; Art 282 public-purpose power

Local chain
SFC evidence -> State fund augmentation -> onward transfer

Design
Basic/performance and tied/untied with accounts and eligibility

09 FC-16 GRANT MAP

Local bodies
Rs 7,91,493 crore for 2026-31

State disaster
Rs 2,04,401 crore for SDRF + SDMF

National disaster
Rs 79,406 crore for NDRF + NDMF

10 EVOLUTION + CURRENT CONTROL

FC-14
42% for 2015-20; autonomy shift

FC-15
41% for 2021-26; tax/fiscal effort included

FC-16
41% for 2026-31; GDP contribution introduced

11 INSTITUTIONS + CASE

Distinct bodies
FC, GST Council, NITI, CAG, RBI and SFC

Mohit Minerals
GST Council advice persuasive/non-binding

Boundary
Comparative use only; no Finance Commission holding

12 TRAPS, REFORM, ANSWER

Traps
Chair+4; 41% of pool; laying is not adoption

Reform
CAG data, cess review, timely SFCs, debt transparency

Answer spine
Define -> Article -> evidence -> analysis -> qualification -> reform